ECB day: a hike is the base case, and oil and yields are climbing into it

EUROPE OPEN, THURSDAY 10 SEPTEMBER 2026: The ECB announces its decision at 14:15 CET, and a 25 basis point rise in the deposit rate to 2.50% is the base case on the public record. It lands with Brent spot at $109.51, 22% above its 28 August level, and the US 10-year yield at 4.83%, its highest close since October 2023. Every level below is dated 9 September or earlier.

ECB DECISION	EUR/USD, 9 SEP	US 10-YEAR, 9 SEP	BRENT SPOT, 9 SEP
14:15 CET	**1.1652**	**4.83%**	**$109.51**
press conference 14:45	ECB rate, +0.33% on 8 Sep	highest since Oct 2023	+3.2% on the day

01 Five things you need to know

1. The ECB decides at 14:15 CET. The deposit rate is 2.25% since 17 June. A 25bp hike is the base case: the July account called it "almost fully priced in" as of that meeting, and on 2 September Bundesbank President Nagel put market pricing for a September hike above 95%. Monday's revision of Q2 euro area GDP to +0.6% q/q (flash +0.4%) weakened the case for a hold.
2. Oil rose again, for a seventh straight session in Brent. Brent spot gained 3.2% to $109.51 and WTI 3.2% to $97.26. Both are up at every daily print since 28 August: Brent by 22% and WTI by 15%. Brent first closed above $100 on 3 September.
3. US yields are at a near three-year high. The 10-year ended at 4.83% (+3bp), the highest close since 4.88% on 31 October 2023. Today's Treasury buyback in the 10 to 20 year sector is for up to $6 billion, three times the old cap.
4. The Bank of Japan's Masu turned hawkish. In a speech in Fukui he said Japan is no longer in deflation and that negative real rates "should be addressed as soon as possible". He warned a rapid hike may be needed if inflation accelerates. The policy rate is 1.0%.
5. US stocks fell for a second session. The S&P 500 lost 0.48% to 7,636.36, 2.1% under its 13 August high close, and the VIX rose to 16.46. US PPI at 08:30 ET lands 15 minutes after the ECB.

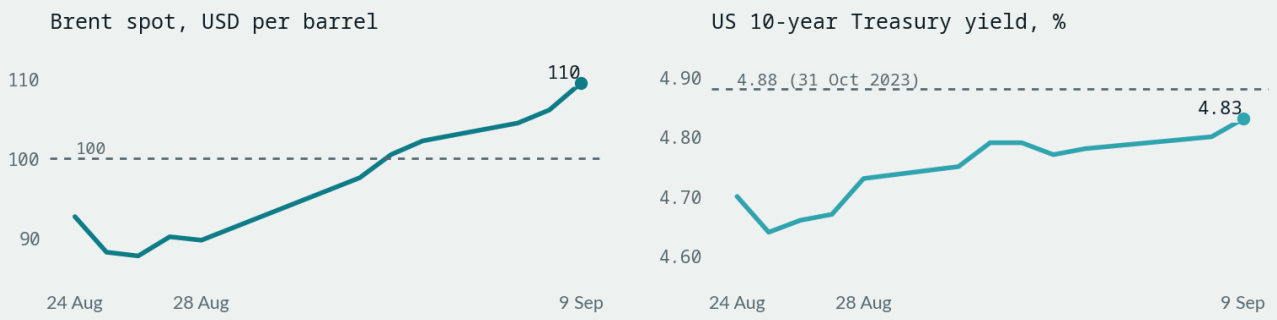
02 Market snapshot

INSTRUMENT	LEVEL	CHANGE VS PRIOR SESSION	AS OF
S&P 500	7,636.36	-0.48%	Wed 9 Sep close
Nasdaq Composite	26,253.34	-0.64%	Wed 9 Sep close
Dow Jones Industrial	52,380.66	-0.77%	Wed 9 Sep close
VIX	16.46	+0.74pt	Wed 9 Sep close
Nikkei 225	65,142.78	-0.19%	Wed 9 Sep close, Tokyo
US 2-year yield	4.43%	+4bp	Wed 9 Sep, Treasury par yield
US 10-year yield	4.83%	+3bp	Highest close since 31 Oct 2023
Brent spot	$109.51	+3.19%	Wed 9 Sep, USD per barrel
EUR/USD	1.1652	+0.33%	ECB reference rate, 9 Sep
USD/JPY	153.50	-0.48%	Fed noon rate, 9 Sep
Broad US dollar index	117.88	-0.02%	Fed trade-weighted, 9 Sep

03 What happened so far

Wall Street reopened on Tuesday after Labor Day and fell on both days. The S&P 500 dropped 0.58% on Tuesday and 0.48% on Wednesday, 1.07% below its 4 September close; the Nasdaq Composite lost 0.64% and the Dow 0.77% on Wednesday. The Nikkei 225 fell 1.70% on Tuesday and 0.19% on Wednesday. Brent has risen every session since 28 August, from $89.75 to $109.51, while the 10-year Treasury yield went from 4.73% to 4.83% and the 2-year from 4.34% to 4.43%.

The yen was the largest mover in the currency series: USD/JPY fell 4.1% from 160.03 on 1 September to 153.50 on Wednesday, and the Fed's broad dollar index lost 0.65%. The euro rose 0.53% on the ECB's fixings, from 1.1590 to 1.1652, the highest of the seven reference rates since 1 September. It gave some back after the ECB fixing: the Fed's noon New York rate was 1.1627, unchanged on the day. Masu's hawkish remarks this morning add to the case for a firmer yen.



Left: Brent spot, daily, 24 Aug to 9 Sep. Right: US 10-year Treasury par yield, daily, same dates; the dashed line is the 31 Oct 2023 close.

04 Market drivers

Energy and the ECB's projections. Euro area energy inflation was 14.3% in the August flash (July 10.3%), and Brent is now 14% above its 1 September level of $96.02. Higher oil pushes the risk to the 2027 headline projection, 2.3% in June, upward, and Monday's scenarios treat 2.5% or higher as a stronger-euro signal.

Hormuz and Iran. Masu said the closure of the Strait has tightened crude supply, with Japan covering demand from reserves and other suppliers. The IAEA Board adopted a resolution on 9 September on Iran's non-compliance with its safeguards agreement and asked the Director General to report it to the UN Security Council. The EIA's weekly inventory report follows at 12:00 ET.

US rates and the buyback. The 10-year breakeven rate rose only from 2.35% on 4 September to 2.37%, so 3bp of the 5bp rise since then is in real yields. Treasury lifted long-end buyback sizes from a $2 billion maximum to at least $4 billion on 9 September, and the schedule published that day allows up to $6 billion in today's 10 to 20 year operation.

05 Today's outlook

The calendar clusters in the Frankfurt afternoon: the ECB at 14:15, US PPI and jobless claims at 14:30, the press conference at 14:45. Norway CPI and German final CPI come earlier; the EIA report and the buyback follow the press conference.

06 What traders should watch

SCENARIO	ECB OUTCOME, FROM MONDAY'S THRESHOLDS
A, STRONGER EURO	More than 25bp, or guidance that points to another hike, or 2027 headline HICP at 2.5% or higher (June: 2.3%).
C, BASE CASE	25bp with the June guidance sentence unchanged and 2027 headline HICP between 2.2% and 2.4%.
B, WEAKER EURO	A hold, or a signal of a pause, or 2027 headline HICP at 2.1% or lower.

Core inflation and GDP thresholds are in Monday's week-ahead document.

07 Also on the watchlist

WATCH **Positioning going in.** Leveraged funds were net short 38,173 euro futures on 1 September (4.4% of open interest), 27,025 fewer than at the 28 July extreme. A mild short leaves little to unwind if the hike matches the base case. The yen is the opposite: funds were net short 102,188 contracts (24.8% of open interest), the largest in the group, and USD/JPY has since fallen 4.1%. Masu's speech makes the next BoJ meeting a live risk for that position.

WATCH **The 14:30 print.** US PPI for August follows the ECB by 15 minutes. July final demand was 0.0% m/m and 4.7% y/y; excluding foods, energy and trade it was +0.4% m/m. A print above July reads as cost pressure still building.

WATCH **Oil and yields.** A seventh rise in a row has taken Brent to $109.51. Another leg higher keeps pressure on yields before Friday's US CPI (08:30 ET).

08 Coming up today

FRANKFURT TIME	EVENT	PREVIOUS OR DETAIL
08:00	Norway CPI, August (Statistics Norway)	July: 3.0% y/y; CPI-ATE 2.7%
Not stated	Germany final CPI, August (Destatis)	Flash: 2.9% y/y, core 2.4%; July 2.8%
14:15	ECB monetary policy decision	Deposit rate 2.25%; press conference 14:45
14:30 (08:30 ET)	US PPI, August (BLS)	July: 0.0% m/m, +4.7% y/y
14:30 (08:30 ET)	US initial jobless claims (DOL)	Weekly Thursday release
18:00 (12:00 ET)	EIA weekly petroleum status report	Week ending 4 Sep; delayed a day by Labor Day
19:40 (13:40 ET)	Treasury buyback, 10 to 20 year sector	Up to $6bn; window closes 14:00 ET

The ECB writes its decision time as 14:15 CET; Frankfurt local time in September is CEST. US times are Eastern, and 08:30 ET is 14:30 in Frankfurt. The 10 September dates for Norway CPI and jobless claims follow each publisher's regular pattern; I retrieved no calendar page for those two.

LIMIT: ECB pricing comes from a central bank official's 2 September statement, not a market data series, and euro area bond yields and equity indices outside the US and Japan are left out.

THREAD: What happened when the decision landed at 14:15? Next: the headlines.

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